

LONDON COCOA FUTURES (XC)

Spread & Butterfly Trading Under Fundamentals

Front of Curve vs Back of Curve — A Practical Framework

This document presents a professional framework for trading London Cocoa (ICE Futures Europe, ticker XC) calendar spreads and butterflies using fundamental analysis. Cocoa is a uniquely complex soft commodity: supply is geographically concentrated, highly weather-dependent, and subject to structural disease and political risk, while demand is globally distributed and driven by industrial processing cycles. Understanding these dynamics at each point on the forward curve is the foundation of any edge in spread and butterfly trading on this market.

Futures First — Internal Education Material
For Analyst Group Use

1. London Cocoa Curve Structure

London Cocoa (XC) trades on ICE Futures Europe in five contract months per year: March (H), May (K), July (N), September (U), and December (Z). This creates a curve of approximately 8–10 active contracts spanning roughly two years forward. Liquidity is concentrated in the first four contracts (roughly 12 months); spreads and flies beyond C5–C6 become increasingly thin but can still be traded with patience and appropriate sizing.

The London contract is denominated in GBP per tonne (lot size 10 tonnes). Note that the New York cocoa contract (CC, ICE Futures US) is denominated in USD per tonne. The two contracts are highly correlated but diverge on currency moves and origin-specific quality differentials — this cross-market relationship is itself a source of spread opportunity beyond the scope of this document.

Contract	Month Code	Zone	Liquidity	Primary Fundamental Driver
C1 (front)	H / K / N / U / Z	FRONT	Highest	Near-term arrivals, current crop estimates, prompt grinding demand
C2	next prompt	FRONT	High	Main crop / mid-crop transition, certified stocks movement
C3	—	FRONT	Good	Crop year boundary, origin differential, port logistics
C4	—	MID	Moderate	Next season's main crop outlook, long-range weather signal
C5	—	MID	Moderate	Structural demand trend, currency dynamics, fund positioning
C6–C8	—	BACK	Thin	Long-cycle supply: tree planting cycles, climate forecasts, macro demand

Unlike livestock markets, cocoa's curve shape is fundamentally driven by the crop calendar and the certified warehouse stock cycle rather than by a storage cost carry model. The curve can be in steep backwardation, contango, or complex mixed shapes depending on the phase of the crop year and the tightness of nearby certified stocks.

2. The Cocoa Supply Chain — What Drives the Curve

To trade cocoa spreads intelligently, one must understand the full supply chain from tree to chocolate bar. Each stage introduces a distinct lag and a distinct source of uncertainty that manifests differently across the curve.

2.1 Origins: Where Supply Comes From

Approximately 70% of world cocoa production is concentrated in West Africa, with two countries dominating entirely:

- **Côte d'Ivoire (Ivory Coast)** — the world's largest producer, accounting for roughly 40–45% of global supply in most years. The Ivorian crop is the single most important supply variable for the London curve. Any weather event, disease outbreak, export tax change, or political disruption in Côte d'Ivoire will move all spreads.
- **Ghana** — the second-largest producer at roughly 15–20% of global supply. Known for higher-quality beans (COCOBOD-certified). Ghana's supply reliability and government pricing policy directly affect quality differentials and the London/New York price relationship.
- **Other origins** — Ecuador, Cameroon, Nigeria, Indonesia, and others contribute the remainder. Ecuador has grown significantly in recent years and produces fine-flavour beans sought by premium chocolate makers. Indonesian supply (bulk, lower-quality) affects New York more than London.

2.2 The Cocoa Crop Calendar

Cocoa has two distinct crops per year in West Africa, and this biannual rhythm is the single most important structural feature for spread traders:

Crop	Period	Share of Annual Prod.	Key Months for Spreads	Notes
Main Crop	Oct – Mar	~70–75%	Dec, Mar, May contracts	Bulk of annual supply. Weather in Oct-Dec critical. Harmattan wind impact.
Mid Crop	Apr – Sep	~25–30%	May, Jul, Sep contracts	Smaller, but quality often higher. Weather in Apr-Jun critical for sizing.
Ghana Crop	Similar but ~2–4 wk lag	—	All contracts	COCOBOD forward sales create visible forward selling pressure on curve.

The transition from main crop to mid-crop (March–May period) and from mid-crop back to main crop (September–November period) are the two most volatile inflection points for front spreads. These transitions drive the seasonal shape of the curve and create recurring spread opportunities when the market mis-prices the crop changeover.

Key insight: when the main crop is large and flowing to ports in Oct-Dec, nearby contracts tend to be well-supplied and the curve moves toward contango. When the main crop disappoints (drought, disease, delayed arrivals), nearby tightens sharply and the curve goes into backwardation — the front-month premium over deferred can reach hundreds of pounds per tonne.

2.3 Certified Warehouse Stocks

ICE Futures Europe publishes daily data on certified cocoa stocks held in approved warehouses (primarily in European ports: Amsterdam, Antwerp, Hamburg, Felixstowe). This is the most real-time supply signal available to spread traders.

- **Rising certified stocks** — supply is arriving faster than it is being drawn down by grinders. Typically bearish for nearby, bullish for the carry (contango pressure). Front spreads tend to weaken (nearby softens relative to deferred).
- **Falling certified stocks** — physical demand is absorbing supply. Typically bullish for nearby. Front spreads strengthen (backwardation pressure builds). Below certain critical thresholds (historically ~150,000-200,000 tonnes), squeeze risk on the front contract increases significantly.
- **Quality composition of stocks** — the proportion of stocks that are "good delivery" (meeting London contract grade specifications) vs those carrying quality discounts matters. Low-quality stock overhang can mask effective tightness in deliverable supply.

Certified stocks are to cocoa spreads what cash cattle basis is to Live Cattle — the most direct and timely physical market signal. Monitor them daily.

3. Fundamental Data Sources

3.1 ICCO (International Cocoa Organization) Reports

The ICCO publishes quarterly and annual supply/demand balance sheets, covering world production, grindings (processing), end-of-season stocks, and the stocks-to-grindings ratio. This is the primary authoritative source for structural supply/demand analysis.

- **Production estimates** — updated quarterly. Early-season estimates (October–November for the main crop) can move spreads significantly when they deviate from market consensus.
- **Stocks-to-grindings ratio** — the most important single metric for long-term curve shape. Below ~30–35% historically correlates with sustained backwardation. Above ~40% correlates with contango.
- **World balance surplus/deficit** — seasonal and annual. A third consecutive deficit year has a fundamentally different implication for back spreads than a one-year deficit within a broadly balanced market.

3.2 Origin Export Data and Arrivals

Weekly and monthly port data from Côte d'Ivoire and Ghana provide the earliest leading indicator of crop performance:

- **Ivorian weekly arrivals (cumulative)** — published by various services (Ecobank, exporters, local trade houses). Tracks cocoa arriving at Abidjan and San-Pédro ports cumulatively since the season start (1 October). This is the single most watched weekly number during the main crop season. Running ahead of or behind prior-year pace is the primary near-term spread signal.
- **Ghana COCOBOD forward sales** — Ghana pre-sells its crop forward through COCOBOD, typically 60–80% of estimated production before the season starts. Heavy forward sales at high prices lock in supply and create known selling pressure on the deferred curve.
- **Origin-specific export data** — monthly customs data from Côte d'Ivoire, Ghana, Ecuador, Cameroon. Confirms what arrivals data has suggested and fills in the picture for secondary origins.

3.3 Grinding (Processing) Data

Grindings are the demand-side counterpart to production. They measure how much cocoa was processed (ground into liquor, butter, powder) in a given quarter. Three key regional reports:

Region	Publisher	Frequency	Release Timing	Key Insight
Europe	European Cocoa Assoc.	Quarterly	~3–4 wks after quarter end	Largest grinding region. Reflects European chocolate demand and stock drawdown.
North America	Natl Confect. Assoc.	Quarterly	~3–4 wks after quarter end	US and Canadian processing. Strong indicator of North American confectionery demand.
Asia-Pacific	Cocoa Assoc. of Asia	Quarterly	~3–4 wks after quarter end	Fast-growing region. Singapore, Malaysia. Rising significance for demand outlook.
Origin grindings	National boards	Quarterly	Varies	Ivory Coast, Ghana processing at origin. Growing trend — compresses LDN/NY basis.

Grindings data is the most important demand-side input. Strong grindings (above expectations) signal that demand is absorbing supply, supportive of nearby and mid-curve. Weak grindings signal demand destruction (often price-driven) — bearish for nearby but can steepen contango as demand-side pressure pushes nearby down.

3.4 Weather Data and Seasonal Patterns

Cocoa is a tropical tree crop. Weather is the most important short-cycle supply variable and the primary driver of intra-season spread volatility. Key weather phenomena:

- **Harmattan (Nov-Feb)** — dry, dusty wind from the Sahara blowing across West Africa. Moderate Harmattan helps dry cocoa beans for fermentation. Severe Harmattan causes pod dehydration and can damage the mid-crop flowering. Impact: C2-C3 spreads (May-July) are most sensitive.
- **Drought (El Niño / ENSO)** — El Niño years correlate strongly with below-average West African cocoa production. The 2015-16 El Niño caused a significant supply deficit. Monitor ENSO forecasts 6-12 months ahead as a back-curve fundamental signal.
- **Excessive rainfall (La Niña)** — can cause black pod disease (*Phytophthora palmivora*). Wet conditions in the main crop season (Oct-Dec) increase black pod risk and can devastate crop quality and quantity rapidly.
- **Rainfall timing in key regions** — Côte d'Ivoire, Ghana, and Cameroon. Satellites (CHIRPS, NOAA) and local weather services provide weekly data. A dry September in Côte d'Ivoire (critical for early main crop development) can move front spreads materially within days.

3.5 Disease: Black Pod and Swollen Shoot

- **Black pod disease** — fungal. The most economically damaging cocoa disease. Thrives in wet, humid conditions. Can destroy 20-30% of a crop in severe outbreaks. Moves spreads: a significant black pod alert in October-November will immediately steepen backwardation in front contracts.
- **Cocoa Swollen Shoot Virus (CSSV)** — the most serious long-term threat. Spread by mealybugs, no cure — infected trees must be removed. Ghana has been fighting a decades-long CSSV epidemic affecting millions of trees. This is a back-curve structural bearish supply signal: tree loss compounds over years, suppressing Ghana's long-term output potential.
- **Vascular Streak Dieback (VSD)** — emerging disease in Southeast Asia (Indonesia, PNG). Less relevant for London directly, but contributes to global supply tightness.

3.6 Currency Dynamics

London cocoa is priced in GBP but physical cocoa is traded in USD globally. Three currency relationships matter:

- **GBP/USD** — the primary cross for London cocoa. A stronger pound makes London cocoa more expensive in USD terms for non-UK buyers, potentially diverting demand to New York. A weaker pound widens the London/New York arbitrage and attracts physical demand to London.
- **XOF (West African CFA franc)** — pegged to the euro. Farmer income in local currency terms affects willingness to sell and investment in crop inputs. A weak euro (= weak CFA vs USD) reduces farmer USD-equivalent income, potentially reducing input investment and long-term supply.
- **USD/EUR** — affects European grinding economics and the London/New York price spread (the "arb"). When the arb is wide, physical cocoa flows from London warehouses to New York or vice versa, directly impacting certified stocks and spread levels.

Currency moves are often dismissed by fundamental traders but can create sharp, sudden moves in front spreads when they shift the arbitrage relationship or alter farmer selling behaviour.

3.7 Government Policy and Export Taxes

- **Côte d'Ivoire DUS system (Droit Unique de Sortie)** — the export tax on cocoa, adjusted quarterly by the Conseil du Café-Cacao (CCC). Changes in DUS directly affect the netback price to farmers and exporters. A surprise DUS increase reduces exporter margins and can slow the pace of forward sales, reducing near-term arrivals visibility.
- **Ivorian farmgate price guarantees** — the government sets a minimum farmgate price each season. A high guaranteed price incentivises production but requires CCC to hedge forward aggressively, creating known selling pressure in deferred contracts.
- **Ghana COCOBOD policy** — COCOBOD acts as sole buyer/exporter. Its forward hedging programme creates visible and predictable commercial short positions in deferred months, trackable via COT data.
- **Export bans and restrictions** — rare but market-moving. Any ad hoc export restriction (political crisis, quality dispute) immediately squeezes nearby certified stocks and explodes front backwardation.

4. Front of Curve — C1 through C3 Spreads

Front spreads in London cocoa are predominantly driven by physical market tightness or abundance — the relationship between current certified stock levels, the pace of origin arrivals, and the immediate demand from European grinders. These spreads can move violently and quickly when physical signals change.

4.1 What Drives Front Spreads

Priority	Data Source	Frequency	Price Impact Speed	Direction Logic
1	Certified warehouse stocks (ICE)	Daily	Immediate	Falling stocks → front tightens → buy C1 spread (backwardation)
2	Ivorian weekly arrivals (cumul.)	Weekly	1-3 days	Below-pace arrivals → front squeeze → buy nearby vs deferred
3	Weather alerts (West Africa)	Continuous	Hours-days	Black pod / drought alert → nearby jumps → buy front spread
4	Quarterly grindings data	Quarterly	1-5 days	Strong grindings → demand absorbing → supportive of nearby
5	GBP/USD and London/NY arb	Continuous	Intraday	Arb widens → London stocks drawn to NY → tighten certified stocks
6	Port arrivals & vessel lineups	Weekly	2-5 days	Vessel backlog at Abidjan/Tema → delays → front tightens

4.2 The Front Spread and the Crop Calendar

The single most reliable seasonal pattern in London cocoa spreads is the relationship between front spreads and the main crop arrival pace. Spreads behave very differently in different phases of the crop year:

- **October-December (Early main crop):** The most volatile period. Arrivals data drives daily price action. Front spreads (C1-C2) are highly sensitive to whether cumulative arrivals are tracking ahead or behind the prior year. A slow start to the main crop creates immediate backwardation pressure.
- **January-March (Main crop peak):** If the main crop is large, certified stocks build and front spreads soften toward contango. If the crop has disappointed, by January the deficit is well-established and backwardation can become extreme.
- **March-May (Main/mid-crop transition):** The crop changeover period. Physical availability typically falls as main crop tails off and mid-crop is not yet flowing. Front spreads (C1-C2, now centred on May-July) often tighten seasonally. This is a recurring structural opportunity.
- **June-September (Mid-crop, inter-season):** Lower supply period. Grindings data takes over as primary driver. Stock drawdown pace determines whether backwardation builds or the curve flattens into the next main crop.

4.3 Certified Stocks Thresholds — The Squeeze Risk

Understanding certified stock levels in the context of open interest and physical delivery requirements is critical for front spread trading:

- When certified stocks fall below roughly 1.5–2 times the open interest of the front contract, delivery squeeze risk rises materially. This creates asymmetric upside for the front contract and explosive backwardation in C1–C2 spreads.
- Monitor the "days of grinding cover" implied by certified stocks — i.e. how many days of European grinding demand the certified stock can supply. Below 30–40 days historically creates acute nearby tightness.
- Watch for the "first notice day" approach for the front contract — as first notice approaches, funds and non-commercial longs must roll or close, creating mechanical selling pressure on C1 and buying pressure on C2, which can temporarily reverse backwardation into a brief contango near expiry.

The combination of low certified stocks + below-pace arrivals + strong grindings is the triple trigger for extreme front backwardation. When all three align, C1–C2 spreads can widen by £50–150/t in a matter of days.

4.4 Risk Profile — Front of Curve

- High volatility — front cocoa spreads can move £20–80/t in a single session on arrivals data or weather news. Position sizing must account for this.
- Liquidity is good relative to back curve, but thin compared to energy spreads. Large positions (50+ lots) can move the market. Work orders carefully.
- Roll dynamics near expiry are mechanical and predictable — use them as an overlay, not as the primary signal.

CAUTION: The London front spread is a physical market instrument. Moves driven by certified stock tightness can persist for weeks without any fundamental resolution — do not fade extreme backwardation unless you have a specific catalyst for stock replenishment.

5. Back of Curve — C4 through C8 Spreads

Back-of-curve spreads in London cocoa operate on the time horizon of the next and subsequent crop cycles. The cocoa being priced in C4–C8 has not yet been harvested — and in the case of C7–C8, it may be growing on trees that have not yet been planted. This means back spreads are fundamentally bets on multi-season supply and demand dynamics, not on physical market tightness.

5.1 What Drives Back Spreads

Priority	Data Source	Frequency	Lead Time	Direction Logic
1	ICCO annual balance sheets (surplus/deficit)	Quarterly/Annual	Seasons ahead	Multi-year deficit → structural backwardation → buy back spreads
2	ENSO / El Niño forecasts	Monthly update	6–18 months	El Niño developing → reduced West Africa supply → buy back curve
3	CSSV / tree disease progression	Annual reports	1–3 years	Worsening CSSV in Ghana → suppress back supply → buy deferred
4	COT commercial positioning (COCOBOD/CCC)	Weekly	Months	Heavy commercial short in deferreds → known hedging pressure; fade at extremes
5	Origin planting & investment trends	Annual/seasonal	2–5 years	Low farm investment now → reduced supply in 3–5 yr horizon
6	Global chocolate/cocoa demand growth	Annual reports	Multi-year	Emerging market demand growth → structural demand upside for back curve
7	Processing/origin grinding capacity	Annual	1–3 years	New grinding capacity at origin → changes LDN/NY basis → curve shape shift

5.2 The Stocks-to-Grindings Ratio — The Structural Compass

The stocks-to-grindings (S/G) ratio is the most important single metric for assessing where the back of the cocoa curve should trade. It measures end-of-season stocks as a percentage of annual grindings (i.e., how many months of processing demand the carryout can supply).

- S/G above 40–45%: market is broadly comfortable. Back spreads trade near or in contango, carry dominates, deferred contracts attract producer hedging.
- S/G 30–40%: balanced-to-tight. Back spreads reflect uncertainty. Curve shape is sensitive to any supply or demand news.
- S/G below 30%: tight market. Back spreads likely in backwardation. Any additional supply shock creates disproportionate moves in deferred.
- S/G below 20% (extreme scarcity, as seen in 2023–24): historic backwardation. The entire curve inverts. Back spreads can trade in wide backwardation for extended periods. This was the dominant feature of the 2023–2024 market, where the S/G ratio reached multi-decade lows following back-to-back West African crop failures.

The S/G ratio is a lagging indicator of what the market should price, but it moves slowly enough that it provides a reliable multi-week directional framework for back spread positioning.

5.3 El Niño / La Niña and the Back Curve

ENSO (El Niño-Southern Oscillation) is arguably the most powerful single factor for back-curve spread positioning:

- **El Niño** (warming of central/eastern Pacific) — historically associated with reduced rainfall in West Africa, particularly Côte d'Ivoire and Ghana. El Niño years tend to produce below-average main crops. When ENSO models forecast an El Niño 9–12 months ahead, this is a structural long signal for C4–C6 back spreads.
- **La Niña** (cooling of Pacific) — tends to bring above-average rainfall to West Africa. Bullish for crop volumes but raises black pod disease risk. Back spreads tend to ease as supply abundance is expected.
- ENSO forecast transitions (El Niño developing → neutral → La Niña) create the best back-curve trading opportunities: a shift from El Niño to neutral can mean the supply crisis is easing, allowing deferred backwardation to compress — a short back-spread signal.

5.4 Tree Stock and Long-Cycle Supply Risk

Cocoa trees take 3–5 years from planting to first commercial production and reach peak production at 8–10 years. This biological lag is the deepest structural driver of the back curve:

- Old tree stock — the average age of cocoa trees in Côte d'Ivoire and Ghana is increasing. Older trees are less productive and more disease-susceptible. Without replanting programmes, the structural output trajectory is declining — a persistent long-term bullish supply signal for deferred.
- Replanting investment cycles — when cocoa prices are high, farmers are incentivised to replant and invest in new seedlings. This creates a 3–5 year supply response lag: high prices today predict higher supply in C12–C20 (beyond tradeable range), but low investment in prior low-price periods predicts structurally tighter supply in C4–C8.
- CSSV eradication campaigns in Ghana — success or failure of government replanting and virus management programmes directly affects Ghana's multi-year output trajectory and back-curve supply expectations.

5.5 Risk Profile — Back of Curve

- Very thin liquidity beyond C5. A 10-lot position in C7–C8 spreads may represent most of the day's volume. Size accordingly.
- Information is softer — no weekly arrivals number moves the back curve. Positions require a 4–12 week holding horizon with tolerance for slow convergence.
- ENSO signals and ICCO balance sheet revisions are the primary triggers. Track them systematically, not reactively.

CAUTION: Back-curve cocoa spreads are extremely illiquid in stress scenarios. If a fundamental view proves wrong, exiting a back-spread position during a fast market can cost significantly more than the initial spread bid-ask.

6. Front vs Back — Key Differences

Dimension	Front of Curve (C1-C3)	Back of Curve (C4-C8)
Primary driver	Certified stocks, arrivals pace, weather alerts	ICCO balance, ENSO, tree stock, disease
Data frequency	Daily (stocks) to weekly (arrivals)	Monthly (ENSO) to annual (ICCO, crop surveys)
Info-to-price lag	Hours to 3 days	Weeks to months
Holding period	Days to 3 weeks	4 weeks to 4 months
Typical move size	£20-100/t per contract on a strong signal	£10-40/t, over weeks
Liquidity	Good — 20-80 lots workable with care	Thin — 5-20 lots max in most conditions
Dominant participants	Physical traders, grinders, macro funds	COCOBOD/CCC hedging, structured desks, macro funds
Seasonal bias	Oct-Dec volatile (crop start), Mar-May tightens	Driven by ENSO cycle, not seasonal calendar
Fly character	Supply timing — crop changeover curvature	Structural carry shape — S/G ratio and ENSO outlook
Edge source	Speed of physical data interpretation + stocks	Macro supply cycle modelling + patience
Main risk	Sudden crop news, currency spike, roll mechanics	Illiquidity, multi-month wait, fundamental error

7. Practical Trade Construction

7.1 Front Spread Trade — Step by Step

Example: Positioning in the C1-C2 spread based on certified stock signal

- **Step 1 — Hypothesis:** Certified stocks have been falling for three consecutive weeks. Cumulative Ivorian arrivals are running 8% behind last year's pace. The front contract is approaching first notice. Backwardation should build.
- **Step 2 — Confirmation:** Check the London/New York arb — is it wide enough to attract physical demand to London? Check grinding sector commentary — are grinders running at full capacity or have they slowed due to high prices?
- **Step 3 — Entry:** Buy the front spread (long C1, short C2) with a limit order. Front spreads in cocoa can gap — avoid market orders on a fast-moving arrivals day.
- **Step 4 — Exit thesis:** Certified stocks stabilise or rebound (new vessel arrivals replenish warehouse), OR arrivals pace accelerates toward par with prior year, OR the contract rolls through expiry.
- **Step 5 — Risk:** Define max loss in £/t terms before entry. Certified stock squeezes can overshoot; do not use tight stops in an illiquid market — use a thesis-based stop.

7.2 Back Spread Trade — Step by Step

Example: Positioning in C4-C5 spread based on ENSO and S/G signal

- **Step 1 — Hypothesis:** ENSO models have shifted to El Niño probability >70% for the coming season. Current S/G ratio is already at 32%, below the 10-year average of 38%. Any crop underperformance will push the S/G below 28%, historically associated with persistent backwardation. Buy C4 spread (long C4, short C5).
- **Step 2 — Confirmation:** Check COCOBOD forward sales data — are they lighter than usual (suggesting less supply confidence)? Check ICCO's latest quarterly production estimate revision.
- **Step 3 — Entry:** Scale in over several days. Liquidity is thin — use resting limit orders and accept partial fills. Avoid entering the full position on a single session.
- **Step 4 — Exit thesis:** ENSO shifts back to neutral or La Niña, OR ICCO sharply revises production estimates upward, OR S/G ratio expectations stabilise above 35%.
- **Step 5 — Risk:** Size 25–40% of your front-spread size. Hold for 6–12 weeks minimum. Define exit by thesis change, not by P&L; impatience.

7.3 Combining Fundamentals with Order Flow

As with other spread markets, the highest-probability setups in London cocoa combine a fundamental directional thesis with confirmation from institutional order flow:

- Large buy iceberg activity in a front spread during a known arrivals shortfall period confirms that well-informed physical traders are positioning for tightness. This is a strong signal to lean in the same direction.
- Large sell iceberg activity in a front spread during a period of rising certified stocks may represent origin hedging (producers locking in forward prices) — this is not necessarily bearish for the spread itself, but confirms supply is being marketed actively.
- In back spreads, iceberg activity is rare. Its presence — especially from the buy side in a deferred month — may indicate a large commercial or fund is building a structural position. This is worth noting and monitoring, but rarely provides the same actionable precision as in the front.

Rule of thumb: fundamentals set the direction and conviction level; order flow tells you whether informed money is already moving.

8. Common Mistakes in Fundamental Cocoa Spread Trading

Confusing price level with spread direction

Cocoa outright can rally strongly on speculative fund flows while spreads remain flat or even move to contango if physical stocks are adequate. The outright price and the spread structure are separate signals — do not use an outright rally as a reason to buy front spreads.

Ignoring the London/New York arbitrage

When the arb (London price in USD vs New York price) is wide, physical cocoa flows between markets, directly affecting London certified stocks. A front spread trade without an arb check is an incomplete analysis.

Overfitting seasonal patterns to the current crop year

Cocoa's seasonal patterns (e.g. "spreads always tighten in March-May") are real tendencies, not laws. A large main crop will flatten or eliminate the seasonal tightening. Always assess current-year crop fundamentals before applying seasonal overlays.

Underestimating roll mechanics near expiry

As first notice day approaches, non-commercial longs must exit the front contract. This creates artificial, temporary backwardation compression that can stop out a structurally sound position. Build roll mechanics into your holding horizon.

Trading back-of-curve spreads without a clear exit catalyst

ENSO shifts and S/G ratio changes are slow. A back-spread trade without a defined catalyst for exit (e.g. "exit when ENSO forecast shifts to neutral OR ICCO revises production +5%") will drift indefinitely. Define the exit in fundamental, not P&L, terms.

Ignoring quality and grade differentials

Not all certified stocks are equal. If the stocks consist primarily of discounted-origin or lower-grade cocoa, effective deliverable supply is tighter than the headline number suggests. Check stock quality composition before concluding that high headline stocks mean a loose market.

9. Key Data Release Schedule

Release	Publisher	Frequency	Typical Timing	Primary Curve Impact
Certified warehouse stocks	ICE Futures Europe	Daily	End of day	C1-C3 spreads — most immediate signal
Ivorian arrivals (cumul.)	Trade services	Weekly	Mon-Wed	C1-C2, season-defining during main crop
ICCO quarterly report	ICCO	Quarterly	~6-8 wks after quarter	All contracts — S/G ratio revision is key
European grindings	Eur. Cocoa Assoc.	Quarterly	~3-4 wks after quarter	C1-C3 demand signal
N. American grindings	Natl Confect. Assoc.	Quarterly	~3-4 wks after quarter	C1-C3 demand signal

Asia-Pacific grindings	Cocoa Assoc. Asia	Quarterly	~3-4 wks after quarter	Growing importance for demand outlook
Ghana COCOBOD sales	COCOBOD / media	Seasonal	Oct-Dec announcement	Deferred contracts — known selling pressure
ENSO forecast update	NOAA / IRI	Monthly	Mid-month	C4-C8 — key for seasonal supply outlook
Commitments of Traders	CFTC / ICE	Weekly	Friday ~afternoon	Crowding signal — all contracts
West Africa weather	CHIRPS / NOAA / local	Weekly/daily	Ongoing	C1-C3 during crop season, C4-C5 off-season

London Cocoa is one of the most intellectually demanding spread markets: supply is geographically concentrated and subject to biological, climatic, and political risks that do not follow simple seasonal patterns. Demand is globally distributed, growing in emerging markets, and sensitive to both end-consumer preferences and industrial processing economics. The forward curve encodes the market's view of all these factors across a two-year horizon — and it is frequently wrong at both ends.

The edge in London cocoa spread trading comes from understanding the physical supply chain at a granular level, tracking the data that others overlook (certified stock composition, arrivals pace, ENSO transitions), maintaining the patience to hold a fundamental position through noise, and combining that fundamental conviction with real-time order flow signals that confirm informed money is moving.